practice,’ ” noting that the NDB would like to move development finance “from best practice to next practice” by moving beyond the existing multilateral development banks which are “too rigid, inflexible, and slow.”[116]

Lou did not mean that the NDB could afford to ignore the cost of borrowing on open markets and the profit level necessary to support future lending. Rather, the priority that Kamath and others have emphasized is on a streamlined, low-cost, less bureaucratic, “strings-free” operation (focused more on projects than shaping domestic policies). The BRICS sought to prioritize the objective of processing loans more rapidly than the lumbering World Bank, whose advantage is being able to borrow at low rates due to its triple-A credit rating.[117] However, the NDB has shown a sensitivity to best practices in a host of decisions, from hiring Western management consultants to write its articles of agreement to cooperating with World Bank former and current staff on modes of operation and projects and to interest in raising money on capital markets. The NDB is also coordinating with the AIIB and signed a memorandum of understanding on September 9, 2016, to cooperate with the World Bank on infrastructure projects, although it is as yet unclear whether such cooperation will affect the NDB’s higher borrowing costs on international capital markets or its standards. The NDB will benefit from cofinancing with state-owned development banks of BRICS countries, such as the China Development Bank (CDB) and Brazilian Development Bank (BNDES) and is signing cooperation agreements with other regional banks, including the Development Bank of Latin America (Corporación Andina de Fomento, or CAF).[118]

The CRA is the BRICS’ own small monetary fund, whose treaty was signed by all five BRICS members on July 15, 2015. Like the IMF, its statutory role is to provide a framework for short-term, balance-of-payments lending in times of crisis. Unlike the NDB, for which the initial capital subscriptions were equally shared among the five BRICS members, China commits to contributing the bulk of funding for the $100 billion CRA. China’s share is $41 billion, that of Russia, India, and Brazil $18 billion each, and South Africa has committed $5 billion for its share.

Like the East Asian counterpart, the Chiang Mai Initiative Multilaterization (CMIM), the CRA has an IMF link: countries may access a maximum of 30 percent of the funding to which they formally are entitled without prior agreement with the IMF. This is arguably one way to secure the repayment of the emergency funds disbursed, but it also represents a pragmatic recognition